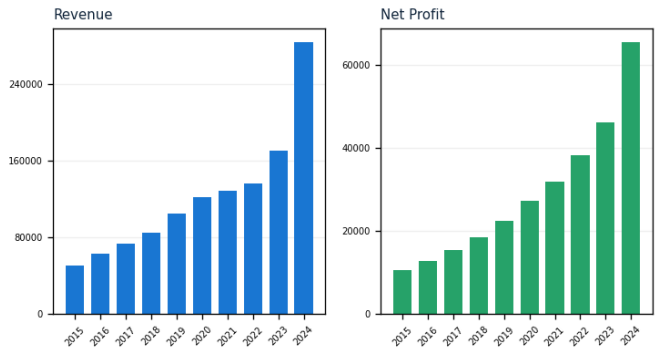
HDFC Bank Ltd

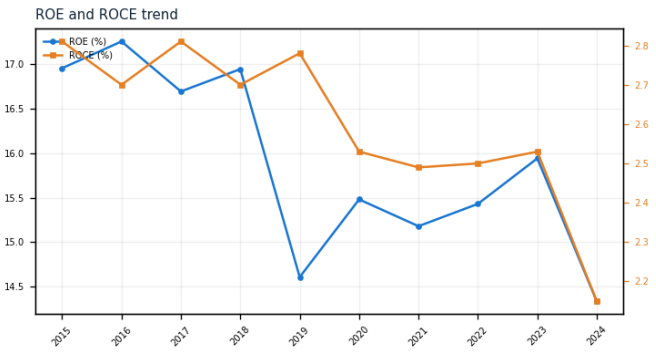
HDFCBANK | Financials

ROE **14.34%**	ROCE **2.15%**	Revenue CAGR (5Y) **21.95%**
PAT CAGR (5Y) **23.87%**	Debt / Equity **6.81x**	Free Cash Flow **35,669.00 Cr**

Revenue & net profit (10Y)



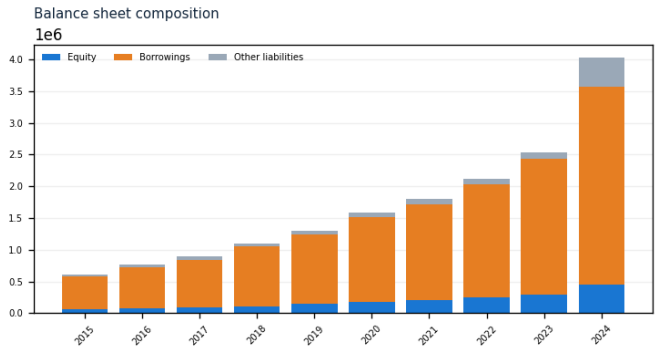
Returns (dual-axis)



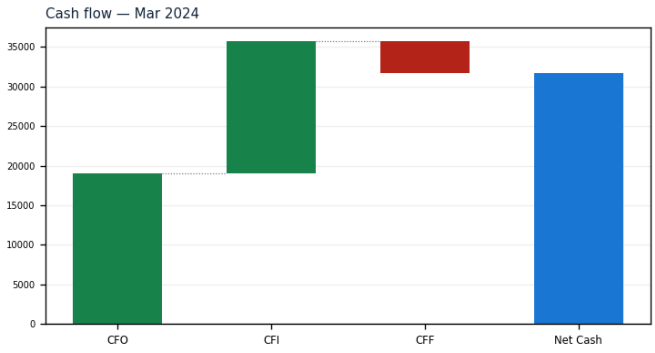
HDFC Bank Ltd

HDFCBANK | Financials

Balance sheet



Cash flow waterfall



PROS

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation | Liquidating Assets